

External Auditor ITGC Test Reliance Memo

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[DOC-ID]	1.0	[External Audit Engagement Partner / IT Audit Lead]	[Effective Date]	SOX IT General Controls	Confidential - Audit Restricted

Purpose

This report documents the external auditor's position on the planned and actual reliance on Information Technology General Controls (ITGCs) relevant to the audit of internal control over financial reporting and the financial statement audit for [Organisation Name].

The purpose of this memo is to:

- Summarise the IT systems, infrastructure, and IT processes considered relevant to financial reporting.
- Document the external auditor's assessment of ITGC design and operating effectiveness.
- State the extent to which the external auditor intends to rely on ITGCs for the reporting period.
- Identify exceptions, deficiencies, control gaps, compensating controls, and audit implications.
- Support the planned nature, timing, and extent of application control testing, reports testing, substantive procedures, and other financial audit procedures.
- Provide management and audit stakeholders with a clear view of ITGC reliance limitations and required remediation actions.

This report is prepared for audit planning, execution, conclusion, and governance purposes. It is not intended to replace detailed test workpapers, exception logs, system walkthroughs, population completeness procedures, or management's own internal control assessment documentation.

Reporting Period & Scope

Reporting Period

This report covers ITGC testing and reliance assessment for the period:

Item	Details
Fiscal year under audit	[Fiscal Year]
ITGC testing period	[Start Date] to [End Date]
Interim testing date, if applicable	[Interim Testing Date]
Roll-forward testing period, if applicable	[Roll-forward Period]
Report issue date	[Report Date]
External audit firm	[Audit Firm Name]
Client organisation	[Organisation Name]

In-Scope Systems

The following systems were assessed because they support financially significant processes, generate financial reporting data, host financially relevant applications, or provide infrastructure services relied upon by in-scope applications.

System / Platform	Business Purpose	Financial Reporting Relevance	Hosting Model	In Scope for Reliance?	Notes
[ERP System]	General ledger, accounts payable, accounts receivable, purchasing, fixed assets	Records and processes material financial transactions	[Cloud / On-Premises / Hosted]	Yes	Primary financial system
[Payroll System]	Payroll processing and employee master data	Supports payroll expense and related accruals	[Cloud / On-Premises / Hosted]	Yes	Interfaces with general ledger
[Revenue / Billing System]	Customer billing, invoicing, revenue data	Supports revenue recognition and accounts receivable	[Cloud / On-Premises / Hosted]	Yes	Includes system-generated reports
[Data Warehouse / Reporting Platform]	Consolidated reporting and analytics	Generates reports used in financial close and audit evidence	[Cloud / On-Premises / Hosted]	Yes	Reliance depends on interface and access controls
[Identity Provider]	Authentication and single sign-on	Controls access to financially relevant systems	[Cloud / On-Premises / Hosted]	Yes	Supports privileged and user access controls
[Change Management Tool]	IT change ticketing and approvals	Supports evidence for application and infrastructure changes	[Cloud / On-Premises / Hosted]	Yes	Used to evidence approval and migration controls
[Database Platform]	Database hosting for in-scope applications	Stores financially relevant transactional data	[Cloud / On-Premises / Hosted]	Yes	Privileged access and change controls reviewed
[Infrastructure Platform]	Servers, operating systems, network services	Supports availability and integrity of in-scope applications	[Cloud / On-Premises / Hosted]	Yes	Scope limited to components supporting in-scope systems

In-Scope ITGC Domains

The ITGC assessment covered the following control domains:

ITGC Domain	Scope Description	Reliance Objective
Logical access	User provisioning, modification, termination, privileged access, periodic access reviews, authentication settings	Determine whether access to financially relevant systems is appropriately authorised, restricted, reviewed, and removed timely
Change management	Application, database, configuration, interface, and infrastructure changes impacting in-scope systems	Determine whether changes are authorised, tested, approved, segregated, and migrated in a controlled manner
IT operations	Job monitoring, backups, incident management, batch processing, interface monitoring, system availability	Determine whether key processing activities are monitored and exceptions are resolved timely
Program development, where applicable	Significant new systems, major enhancements, or financial reporting transformation initiatives	Determine whether development activities are governed, tested, approved, and implemented with appropriate business involvement
Third-party IT services	Relevant service organisations supporting in-scope systems or infrastructure	Determine whether outsourced IT controls are suitably evaluated and user entity responsibilities are addressed
Cybersecurity controls relevant to financial reporting	Security monitoring, vulnerability management, endpoint protection, and administrative security controls where they affect financial reporting integrity	Determine whether relevant security risks could impact financial reporting systems or data integrity

Out-of-Scope Areas

The following areas were not included in this reliance memo except where they directly impact in-scope financial reporting systems:

- Purely operational systems with no material financial reporting impact.
- End-user computing tools unless used as key financial reports, calculations, or audit evidence.
- Business process controls, except where IT dependencies were evaluated.

- General cybersecurity controls not relevant to financial reporting integrity, availability, or access control.
- Systems implemented after the reliance period unless they affected migrated data, reports, or controls during the period.
- Internal audit testing not independently reperformed, evaluated, or relied upon by the external auditor.

Reliance Classification

The following classification is used throughout this report.

Reliance Position	Meaning
Reliance supported	Design and operating effectiveness testing supports reliance for the applicable period, subject to completion of any identified roll-forward procedures
Reliance supported with limitation	Controls are generally effective, but specific exceptions or scope limitations require reduced reliance, additional procedures, or exclusion of certain controls, reports, periods, users, or systems
Reliance not supported	Control deficiencies, insufficient evidence, ineffective design, ineffective operation, or unresolved scope limitations prevent reliance
Pending conclusion	Testing, management evidence, service organisation reports, or remediation validation remains incomplete as of report date

Executive Summary

Overall Reliance Conclusion

Based on the ITGC procedures performed for the period [Start Date] to [End Date], the external auditor's overall reliance position is:

[Reliance supported / Reliance supported with limitation / Reliance not supported / Pending conclusion]

The conclusion is based on assessment of design effectiveness, operating effectiveness, evidence quality, exception severity, management remediation, compensating controls, and the relationship between ITGCs and financially relevant applications, data, interfaces, and reports.

Summary of Results by Domain

ITGC Domain	Design Effectiveness	Operating Effectiveness	Reliance Position	Summary Conclusion
Logical access	[Effective / Ineffective / Pending]	[Effective / Ineffective / Pending]	[Reliance Position]	[Summary]
Change management	[Effective / Ineffective / Pending]	[Effective / Ineffective / Pending]	[Reliance Position]	[Summary]
IT operations	[Effective / Ineffective / Pending]	[Effective / Ineffective / Pending]	[Reliance Position]	[Summary]
Program development	[Effective / Ineffective / Not Applicable / Pending]	[Effective / Ineffective / Not Applicable / Pending]	[Reliance Position]	[Summary]
Third-party IT services	[Effective / Ineffective / Pending]	[Effective / Ineffective / Pending]	[Reliance Position]	[Summary]
Cybersecurity controls relevant to financial reporting	[Effective / Ineffective / Pending]	[Effective / Ineffective / Pending]	[Reliance Position]	[Summary]

Key Matters Affecting Reliance

The following matters have the greatest impact on the reliance conclusion:

Matter	Impact on Reliance	Audit Response
[Example: Delayed removal of terminated users in ERP]	May indicate unauthorised access risk for financial transaction processing	Expanded access testing, reviewed activity for impacted users, evaluated compensating monitoring
[Example: Emergency changes not consistently retrospectively approved]	Reduces reliance on change governance for urgent production changes	Tested population of emergency changes and assessed evidence of testing, approval, and post-implementation review
[Example: Incomplete review of privileged database accounts]	Increases risk of unauthorised changes to financial data	Performed additional privileged access testing and considered impact on application controls and reports
[Example: Service organisation report gap period]	Creates reliance gap for hosted application controls	Obtained bridge letter, management monitoring evidence, and performed complementary procedures

Overall Audit Implications

The ITGC reliance position affects the broader audit approach as follows:

- Where reliance is supported, relevant automated controls and system-generated reports may be tested using planned audit procedures, subject to evidence over report logic, completeness, accuracy, and appropriate access.
- Where reliance is supported with limitation, reliance may be restricted to specific systems, periods, control domains, or control objectives, and additional audit procedures will be required.
- Where reliance is not supported, the audit team should reduce or eliminate reliance on affected automated controls, interfaces, system-generated reports, and financially relevant system configurations unless alternative evidence supports their reliability.
- Where deficiencies are identified, the audit team should evaluate whether they represent control deficiencies, significant deficiencies, or material weaknesses based on likelihood and magnitude of potential financial statement impact.
- Management remediation may be considered only when designed, implemented, and operating for a sufficient period to support testing.

Methodology

Approach

The external auditor performed procedures to evaluate whether ITGCs relevant to financial reporting were designed and operating effectively during the reporting period. The methodology included risk assessment, system scoping, process walkthroughs, control design evaluation, sample-based testing, population validation, evidence inspection, inquiry, observation, reperformance where applicable, and evaluation of exceptions.

The assessment considered:

- The role of each system in initiating, authorising, processing, recording, reporting, or storing financial information.
- The dependence of financial reporting controls on automated application controls, interfaces, calculations, workflows, and system-generated reports.
- The risk of unauthorised access, unauthorised changes, failed processing, data loss, or inappropriate system administration.
- The extent to which management's IT processes prevent or detect errors or unauthorised activity that could affect financial reporting.
- The reliability of evidence produced by systems used in the audit.

- The impact of third-party providers and outsourced technology services.

Procedures Performed

Procedure Area	Procedures Performed
Planning and scoping	Obtained system inventory, financial process mapping, application dependency mapping, infrastructure diagrams, and prior-year ITGC results
Walkthroughs	Conducted walkthroughs with IT, security, application owners, business process owners, and control performers
Design assessment	Evaluated whether controls were appropriately designed to address identified risks and whether control owners understood performance requirements
Population completeness	Assessed completeness and accuracy of populations used for testing, including user listings, change listings, incident logs, job schedules, and privileged access reports
Sample selection	Selected samples based on control frequency, risk, population size, and prior exception history
Evidence inspection	Reviewed tickets, approvals, access requests, system logs, review sign-offs, test evidence, migration records, monitoring alerts, and management review documentation
Reperformance	Reperformed selected access review checks, change approval validations, user termination comparisons, and report parameter validations where appropriate
Third-party review	Reviewed relevant service organisation reports, bridge letters, subservice considerations, and management's evaluation of vendor controls
Exception evaluation	Assessed exceptions for cause, frequency, pervasiveness, compensating controls, and potential financial reporting impact
Reliance conclusion	Determined whether reliance is supported, limited, unsupported, or pending for each domain and system

Testing Strategy

The testing strategy was risk-based and considered control frequency, control automation, prior-year results, extent of financial reporting reliance, and whether controls were preventive or detective.

Control Frequency	Typical Testing Approach
Continuous / automated	Validate configuration, access to modify configuration, change history, and monitoring of exceptions
Daily	Test a representative sample across the period, including higher-risk dates or periods
Weekly	Test a sample across multiple months or quarters
Monthly	Test selected months, including close periods where applicable
Quarterly	Test selected quarters, including at least one period close where relevant
Annual	Test the annual occurrence and evaluate timeliness, completeness, and review quality
Event-driven	Test a risk-based sample from the complete population of events

Evidence Standards

Evidence was considered sufficient and appropriate when it demonstrated:

- The control was performed by an authorised and competent individual or automated process.
- The control was performed at the required frequency.
- The control covered the complete and accurate population.
- The reviewer had sufficient information to identify exceptions.
- Exceptions were investigated and resolved timely.

- Approval occurred before access, change migration, or other relevant control event unless a defined emergency process applied.
- Evidence was retained in a reliable system or repository.
- The timing of evidence aligned to the period under audit.
- System-generated evidence was supported by access controls and report reliability procedures.

Reliance Decision Criteria

Reliance was evaluated using the following criteria:

Criterion	Consideration
Design suitability	Whether the control is capable of preventing or detecting relevant financial reporting risks
Operating consistency	Whether the control operated as designed throughout the period
Evidence quality	Whether documentation is complete, clear, retained, and independently verifiable
Exception severity	Whether exceptions indicate isolated performance issues or broader control failure
Compensating controls	Whether other controls sufficiently reduce the same risk
Deficiency pervasiveness	Whether the issue affects one system, one control, one period, or multiple financial processes
Management review precision	Whether review controls are performed at a level of detail sufficient to identify meaningful errors or unauthorised activity
Period coverage	Whether testing covers the full audit period or whether roll-forward procedures are required
Third-party assurance	Whether service provider controls and management's user responsibilities are adequately addressed

Detailed Findings / Results (with structure)

1. Logical Access Controls

Scope

Logical access testing covered access provisioning, modification, termination, privileged access, periodic access reviews, authentication controls, segregation of duties considerations, and access to financial reporting systems and supporting infrastructure.

System / Platform	Access Areas Tested	Result
[ERP System]	New users, role changes, terminated users, privileged roles, periodic access review	[Result]
[Payroll System]	New users, terminations, payroll administrator access, access review	[Result]
[Revenue / Billing System]	Billing roles, revenue administrator access, user changes, access review	[Result]
[Database Platform]	Database administrator access, service accounts, privileged activity oversight	[Result]
[Identity Provider]	Authentication policies, privileged identity management, user lifecycle controls	[Result]

Controls Tested

Control Area	Expected Control Outcome	Testing Result
User provisioning	New access is approved by appropriate business or system owners before access is granted	[Pass / Exception / Pending]
Access modification	Role changes are approved and aligned to job responsibilities	[Pass / Exception / Pending]
User termination	Access is removed or disabled timely following employment termination or transfer where applicable	[Pass / Exception / Pending]
Privileged access	Administrative access is restricted, approved, periodically reviewed, and monitored	[Pass / Exception / Pending]
Periodic access review	System owners review active users and roles and ensure inappropriate access is removed	[Pass / Exception / Pending]
Authentication settings	Password, multi-factor authentication, and session controls support secure access	[Pass / Exception / Pending]
Service accounts	Non-human accounts are identified, owned, justified, and restricted	[Pass / Exception / Pending]

Exceptions Identified

Finding ID	Finding	Affected System(s)	Severity	Population / Sample Impact	Root Cause	Reliance Impact
ITGC-LA-01	[Example: Terminated user access was disabled after the required timeframe for selected users]	[ERP System]	[Low / Moderate / High]	[X of Y tested]	[Root Cause]	[Reliance supported with limitation / Not supported]
ITGC-LA-02	[Example: Privileged access review did not include all database administrator accounts]	[Database Platform]	[Low / Moderate / High]	[X accounts omitted]	[Root Cause]	[Reliance Impact]

External Auditor Conclusion - Logical Access

Reliance position: [Reliance supported / Reliance supported with limitation / Reliance not supported / Pending conclusion]

Based on the procedures performed, logical access controls are [designed effectively / not designed effectively / pending conclusion] and [operated effectively / did not operate effectively / pending conclusion] for the period tested, except for the matters noted above.

Where exceptions were identified, additional procedures were performed or planned, including:

- Review of user activity for impacted accounts.
- Expanded sample testing for similar access events.
- Evaluation of compensating business process reviews.
- Assessment of whether inappropriate access enabled initiation, approval, modification, or concealment of financial transactions.
- Consideration of impact on application controls, system-generated reports, and segregation of duties.

2. Change Management Controls

Scope

Change management testing covered application changes, database changes, configuration changes, interface changes, infrastructure changes, emergency changes, and migration controls for in-scope systems.

System / Platform	Change Types Tested	Result
[ERP System]	Application configuration, workflow, financial reporting logic, interfaces	[Result]
[Revenue / Billing System]	Billing rules, invoice logic, revenue interfaces	[Result]
[Data Warehouse / Reporting Platform]	Report logic, data transformations, interface jobs	[Result]
[Database Platform]	Database schema changes, stored procedures, privileged changes	[Result]
[Infrastructure Platform]	Operating system, middleware, scheduled jobs, security configurations	[Result]

Controls Tested

Control Area	Expected Control Outcome	Testing Result
Change request and approval	Changes are requested, documented, assessed, and approved before development or implementation	[Pass / Exception / Pending]
Testing	Changes are tested by appropriate personnel and results are retained	[Pass / Exception / Pending]
Business approval	Financially relevant changes receive approval from the appropriate business owner or process owner	[Pass / Exception / Pending]
Segregation of duties	Developers do not migrate their own changes to production without independent review or controlled workflow	[Pass / Exception / Pending]
Production migration	Changes are migrated through approved deployment processes	[Pass / Exception / Pending]
Emergency changes	Emergency changes are justified, approved, tested where feasible, and retrospectively reviewed	[Pass / Exception / Pending]
Change monitoring	Management reviews change activity for completeness, failed changes, unauthorised changes, and exceptions	[Pass / Exception / Pending]

Exceptions Identified

Finding ID	Finding	Affected System(s)	Severity	Population / Sample Impact	Root Cause	Reliance Impact
ITGC-CM-01	[Example: Selected changes lacked documented evidence of user acceptance testing prior to production migration]	[ERP System]	[Low / Moderate / High]	[X of Y tested]	[Root Cause]	[Reliance Impact]
ITGC-CM-02	[Example: Emergency changes were not consistently reviewed after implementation]	[Revenue / Billing System]	[Low / Moderate / High]	[X of Y tested]	[Root Cause]	[Reliance Impact]

External Auditor Conclusion - Change Management

Reliance position: [Reliance supported / Reliance supported with limitation / Reliance not supported / Pending conclusion]

Based on the procedures performed, change management controls are [designed effectively / not designed effectively / pending conclusion] and [operated effectively / did not operate effectively / pending conclusion] for the period tested, except for the matters noted above.

The reliance conclusion considers whether exceptions could allow unauthorised or inappropriate changes to financial reporting systems, reports, interfaces, calculations, workflows, or master data. Where change controls are not reliable, the audit team should consider additional testing of affected application controls, report logic,

interface reconciliations, and transaction processing outputs.

3. IT Operations Controls

Scope

IT operations testing covered processing jobs, scheduled interfaces, incident management, backups, restoration evidence, batch monitoring, availability monitoring, and operational exception handling.

System / Platform	Operational Areas Tested	Result
[ERP System]	Batch jobs, financial close jobs, interface monitoring, backups	[Result]
[Payroll System]	Payroll processing jobs, payroll-to-ledger interface, incident handling	[Result]
[Revenue / Billing System]	Billing jobs, invoice generation, failed job monitoring	[Result]
[Data Warehouse / Reporting Platform]	Data loads, report refreshes, reconciliation monitoring	[Result]
[Infrastructure Platform]	Backup monitoring, system availability, incident response	[Result]

Controls Tested

Control Area	Expected Control Outcome	Testing Result
Job scheduling and monitoring	Critical jobs are scheduled, monitored, and failures are identified timely	[Pass / Exception / Pending]
Interface monitoring	Financially relevant interfaces are monitored and exceptions are resolved	[Pass / Exception / Pending]
Incident management	Incidents are logged, prioritised, investigated, resolved, and closed with evidence	[Pass / Exception / Pending]
Backup monitoring	Backups for in-scope systems are completed and failures are remediated	[Pass / Exception / Pending]
Restoration testing	Backup restoration capability is periodically validated	[Pass / Exception / Pending]
System availability monitoring	Availability issues are monitored and escalated according to business impact	[Pass / Exception / Pending]
Operational review	Management reviews operational exceptions and ensures timely resolution	[Pass / Exception / Pending]

Exceptions Identified

Finding ID	Finding	Affected System(s)	Severity	Population / Sample Impact	Root Cause	Reliance Impact
ITGC-OPS-01	[Example: Evidence of timely resolution was not retained for selected failed interface jobs]	[ERP System / Data Warehouse]	[Low / Moderate / High]	[X of Y tested]	[Root Cause]	[Reliance Impact]
ITGC-OPS-02	[Example: Backup restoration testing did not cover the production database supporting financial reporting]	[Database Platform]	[Low / Moderate / High]	[Scope gap]	[Root Cause]	[Reliance Impact]

External Auditor Conclusion - IT Operations

Reliance position: [Reliance supported / Reliance supported with limitation / Reliance not supported / Pending conclusion]

Based on the procedures performed, IT operations controls are [designed effectively / not designed effectively / pending conclusion] and [operated effectively / did not operate effectively / pending conclusion] for the period tested, except for the matters noted above.

The reliance conclusion considers whether operational failures could affect completeness, accuracy, availability, or recoverability of financial reporting data. Where exceptions impact key interfaces, scheduled reports, or close processing, the audit team should perform additional procedures over reconciliations, transaction completeness, and report refresh accuracy.

4. Program Development Controls

Scope

Program development controls were evaluated for significant new systems, major enhancements, or financial reporting transformation activities that affected in-scope financial reporting during the period.

Project / Initiative	Financial Reporting Impact	Result
[Project Name]	[Example: ERP module implementation affecting procurement and payables]	[Result]
[Project Name]	[Example: Revenue system enhancement affecting billing calculations]	[Result]
[Project Name]	[Example: Data warehouse redesign affecting financial reporting dashboards]	[Result]

Controls Tested

Control Area	Expected Control Outcome	Testing Result
Project governance	Projects affecting financial reporting are approved, governed, and monitored	[Pass / Exception / Pending / Not Applicable]
Requirements approval	Business and financial reporting requirements are documented and approved	[Pass / Exception / Pending / Not Applicable]
Testing and defect resolution	Functional, integration, security, and user acceptance testing are completed before go-live	[Pass / Exception / Pending / Not Applicable]
Data migration	Migrated data is reconciled, validated, and approved	[Pass / Exception / Pending / Not Applicable]
Go-live approval	Deployment is approved by appropriate IT and business stakeholders	[Pass / Exception / Pending / Not Applicable]
Post-implementation review	Significant issues are reviewed and resolved after implementation	[Pass / Exception / Pending / Not Applicable]

Exceptions Identified

Finding ID	Finding	Affected Project / System	Severity	Population / Sample Impact	Root Cause	Reliance Impact
ITGC-PD-01	[Example: Data migration reconciliation evidence did not include approval by the finance process owner]	[Project / System]	[Low / Moderate / High]	[Scope]	[Root Cause]	[Reliance Impact]
ITGC-PD-02	[Example: Defect closure evidence was incomplete for selected financial reporting test cases]	[Project / System]	[Low / Moderate / High]	[X of Y tested]	[Root Cause]	[Reliance Impact]

External Auditor Conclusion - Program Development

Reliance position: [Reliance supported / Reliance supported with limitation / Reliance not supported / Pending conclusion / Not applicable]

Based on the procedures performed, program development controls are [designed effectively / not designed effectively / pending conclusion / not applicable] and [operated effectively / did not operate effectively / pending conclusion / not applicable] for the period tested.

Where significant system implementations or changes occurred, reliance depends on evidence that project governance, testing, migration, security, and go-live decisions were appropriately controlled.

5. Third-Party IT Services

Scope

Third-party IT service reliance was assessed for service providers supporting financially relevant applications, infrastructure, security, hosting, managed operations, or data processing.

Service Provider	Service Provided	In-Scope System(s)	Assurance Report Available?	Period Covered	Result
[Provider Name]	[Hosting / SaaS / Managed Service]	[System]	[Yes / No]	[Period]	[Result]
[Provider Name]	[Payroll processing / Application support]	[System]	[Yes / No]	[Period]	[Result]
[Provider Name]	[Identity / Security Monitoring]	[System]	[Yes / No]	[Period]	[Result]

Controls and Evidence Evaluated

Area	Evaluation Performed	Result
Service organisation report	Reviewed report scope, period, control objectives, testing results, exceptions, and opinion	[Pass / Exception / Pending]
Bridge period	Evaluated bridge letter or other evidence covering gaps between report date and audit period end	[Pass / Exception / Pending / Not Applicable]
User entity responsibilities	Assessed whether management identified and performed required responsibilities	[Pass / Exception / Pending]
Subservice organisations	Evaluated whether key subservice dependencies were identified and addressed	[Pass / Exception / Pending]
Complementary management controls	Tested controls retained by management where necessary	[Pass / Exception / Pending]
Vendor monitoring	Reviewed management's vendor risk assessment, performance monitoring, and issue tracking	[Pass / Exception / Pending]

Exceptions Identified

Finding ID	Finding	Service Provider / System	Severity	Impact	Root Cause	Reliance Impact
ITGC-TP-01	[Example: Service organisation report did not cover the full audit period and bridge evidence was limited]	[Provider / System]	[Low / Moderate / High]	[Impact]	[Root Cause]	[Reliance Impact]
ITGC-TP-02	[Example: Management did not document completion of required user responsibilities for access reviews]	[Provider / System]	[Low / Moderate / High]	[Impact]	[Root Cause]	[Reliance Impact]

External Auditor Conclusion - Third-Party IT Services

Reliance position: [Reliance supported / Reliance supported with limitation / Reliance not supported / Pending conclusion]

Reliance on third-party IT controls is [supported / limited / not supported / pending] based on available assurance reports, management's monitoring activities, performance of retained responsibilities, and evidence covering the full audit period.

Where third-party reliance gaps exist, the audit team should obtain additional evidence from management, perform direct procedures where practical, or reduce reliance on the affected systems and reports.

6. Cybersecurity Controls Relevant to Financial Reporting

Scope

Cybersecurity controls were evaluated only to the extent that they affect financial reporting systems, financial data integrity, privileged access, availability of systems used in financial close, or the reliability of system-generated audit evidence.

Area	Financial Reporting Relevance	Result
Security monitoring	May detect unauthorised activity in financially relevant systems	[Result]
Vulnerability management	May reduce risk of compromise of financial reporting systems	[Result]
Endpoint and server protection	Supports integrity and availability of financial reporting infrastructure	[Result]
Privileged access security	Reduces risk of unauthorised administrative activity	[Result]
Incident response	Supports timely identification and response to security events affecting financial systems	[Result]

Controls Tested

Control Area	Expected Control Outcome	Testing Result
Security event monitoring	Relevant security events are monitored, triaged, and escalated	[Pass / Exception / Pending]
Vulnerability remediation	High-risk vulnerabilities affecting in-scope systems are tracked and remediated timely	[Pass / Exception / Pending]
Malware protection	In-scope servers and endpoints have active protection and monitoring	[Pass / Exception / Pending]
Administrative activity oversight	Privileged security events are reviewed or monitored	[Pass / Exception / Pending]
Security incident response	Incidents affecting financial reporting systems are assessed for business and financial impact	[Pass / Exception / Pending]

Exceptions Identified

Finding ID	Finding	Affected System(s)	Severity	Impact	Root Cause	Reliance Impact
ITGC-CS-01	[Example: High-risk vulnerabilities on servers supporting financial reporting remained open beyond remediation targets]	[Infrastructure / System]	[Low / Moderate / High]	[Impact]	[Root Cause]	[Reliance Impact]
ITGC-CS-02	[Example: Security monitoring procedures did not explicitly include privileged activity for the ERP production environment]	[ERP System]	[Low / Moderate / High]	[Impact]	[Root Cause]	[Reliance Impact]

External Auditor Conclusion - Cybersecurity Controls Relevant to Financial Reporting

Reliance position: [Reliance supported / Reliance supported with limitation / Reliance not supported / Pending conclusion]

Cybersecurity control results were considered in the ITGC reliance assessment where deficiencies could affect unauthorised access, unauthorised changes, financial data integrity, report reliability, or system availability. General cyber risk observations that do not affect financial reporting reliance are excluded from this conclusion unless separately communicated.

7. Summary of Findings

Finding ID	Domain	Finding Summary	Severity	Affected System(s)	Reliance Impact	Management Response Status
ITGC-LA-01	Logical access	[Finding Summary]	[Low / Moderate / High]	[System]	[Impact]	[Open / In Progress / Remediated / Pending Validation]
ITGC-CM-01	Change management	[Finding Summary]	[Low / Moderate / High]	[System]	[Impact]	[Open / In Progress / Remediated / Pending Validation]
ITGC-OPS-01	IT operations	[Finding Summary]	[Low / Moderate / High]	[System]	[Impact]	[Open / In Progress / Remediated / Pending Validation]
ITGC-TP-01	Third-party IT services	[Finding Summary]	[Low / Moderate / High]	[System]	[Impact]	[Open / In Progress / Remediated / Pending Validation]

8. Reliance Position by System

System / Platform	Logical Access	Change Management	IT Operations	Third-Party Reliance	Overall System Reliance Position	Audit Implication
[ERP System]	[Position]	[Position]	[Position]	[Position / N/A]	[Position]	[Implication]
[Payroll System]	[Position]	[Position]	[Position]	[Position / N/A]	[Position]	[Implication]
[Revenue / Billing System]	[Position]	[Position]	[Position]	[Position / N/A]	[Position]	[Implication]
[Data Warehouse / Reporting Platform]	[Position]	[Position]	[Position]	[Position / N/A]	[Position]	[Implication]
[Database Platform]	[Position]	[Position]	[Position]	[Position / N/A]	[Position]	[Implication]

Analysis

Reliance Assessment

The external auditor's reliance assessment considers whether ITGCs provide sufficient support for the reliability of automated application controls, configurable controls, system-generated reports, financial interfaces, and financial data used in the audit.

The assessment indicates that:

- Logical access controls [support / partially support / do not support] reliance because [reason].
- Change management controls [support / partially support / do not support] reliance because [reason].
- IT operations controls [support / partially support / do not support] reliance because [reason].
- Third-party IT controls [support / partially support / do not support] reliance because [reason].

- Cybersecurity controls relevant to financial reporting [support / partially support / do not support] reliance because [reason].

Impact on Automated Controls

Automated controls may be relied upon only where the supporting ITGCs are sufficiently effective for the relevant period. The following analysis applies:

Automated Control Area	Supporting ITGC Dependency	Reliance Impact
Automated approval workflows	Access controls and change management	[Impact]
System-enforced segregation of duties	Role design, access provisioning, access reviews	[Impact]
Three-way match controls	Configuration change controls, master data access, interface monitoring	[Impact]
Automated revenue calculations	Change management, privileged access, report logic controls	[Impact]
Payroll calculation controls	Access controls, change management, job monitoring	[Impact]
Close and consolidation controls	Access controls, change management, interface monitoring, reporting controls	[Impact]

Where ITGC reliance is limited or unsupported, the audit team should perform additional procedures to validate whether automated controls operated as intended during the period.

Impact on System-Generated Reports

System-generated reports used in audit evidence or control operation depend on effective access, change, and operations controls. The following report categories were considered:

Report Category	Example Use	ITGC Dependency	Reliance Impact
User access reports	Access review evidence and privileged access testing	Completeness and accuracy of user listing, report parameters, access to modify reports	[Impact]
Change reports	Completeness of change population	Change management tool integrity and report configuration	[Impact]
Financial transaction reports	Audit sampling, reconciliation, control evidence	Application access, report logic, interface integrity	[Impact]
Exception reports	Operational monitoring and business control reviews	Job monitoring, report completeness, exception logic	[Impact]
Interface reconciliation reports	Completeness and accuracy of data transfer	Interface monitoring, job controls, reconciliation process	[Impact]

Where report reliability is affected, the audit team should validate report parameters, reconcile report totals to source data, test report logic, obtain independent data extracts, or use alternative audit evidence.

Impact on Financial Statement Audit Procedures

The ITGC results affect the audit approach as follows:

Area	Reliance Supported	Reliance Limited or Unsupported
Application controls	Proceed with planned testing of automated controls	Expand direct testing or reduce reliance
System reports	Use reports with standard report testing procedures	Perform enhanced report validation or obtain alternative evidence
Interface controls	Rely on interface monitoring where effective	Perform reconciliation and completeness procedures
Substantive testing	Perform planned procedures	Increase sample sizes or perform additional procedures where risk increases
Control deficiency evaluation	Assess isolated exceptions	Evaluate aggregation, likelihood, magnitude, and potential deficiency severity

Area	Reliance Supported	Reliance Limited or Unsupported
Roll-forward period	Perform targeted procedures	Extend testing through year-end or perform additional year-end procedures

Deficiency Evaluation Considerations

Each exception should be evaluated based on:

- Whether the control failed by design or operation.
- Whether the exception is isolated or systemic.
- Whether the exception affected a financially significant system or process.
- Whether unauthorised access or unauthorised change could have occurred.
- Whether management identified the exception through its own monitoring.
- Whether compensating controls operated with sufficient precision.
- Whether there is evidence of actual financial misstatement, data integrity issue, or unauthorised activity.
- Whether similar deficiencies exist across multiple systems or domains.
- Whether remediation was completed and operated for a sufficient period before reliance is reconsidered.

Compensating Controls

Compensating controls may support limited reliance only when they address the same risk at an appropriate level of precision. Examples include:

ITGC Issue	Potential Compensating Control	Evidence Needed
Delayed user termination	Review of post-termination account activity and business transaction approvals	User activity logs, transaction listings, reviewer sign-off
Incomplete privileged access review	Monitoring of privileged activity and independent review of changes	Admin logs, review evidence, exception follow-up
Missing change testing evidence	Post-implementation validation by business owner and transaction output review	Validation documentation, defect logs, approval evidence
Failed interface job evidence gap	Reconciliation between source and target systems	Reconciliation reports, exception resolution evidence
Service organisation report gap	Bridge letter and management monitoring controls	Provider bridge letter, incident communications, management review evidence

Compensating controls should not be assumed effective solely because they exist. They must be tested or otherwise evaluated for design, operation, precision, and coverage.

Recommendations & Actions

Management Action Plan

Management should address the findings identified in this report through documented remediation plans with accountable owners, target dates, evidence requirements, and validation procedures.

Finding ID	Recommended Action	Management Owner	Target Date	Evidence Required	Status
ITGC-LA-01	[Example: Strengthen termination access removal workflow, automate HR-to-IT notifications, and monitor overdue removals]	[Owner]	[Date]	Updated workflow, sample termination evidence, overdue report, monitoring sign-off	[Open / In Progress / Complete]
ITGC-LA-02	[Example: Expand privileged access review population to include database, service, and emergency administrator accounts]	[Owner]	[Date]	Complete privileged account listing, review evidence, removal evidence	[Open / In Progress / Complete]
ITGC-CM-01	[Example: Require testing evidence and business approval before migration of financially relevant changes]	[Owner]	[Date]	Change tickets, testing evidence, approval workflow configuration	[Open / In Progress / Complete]
ITGC-CM-02	[Example: Implement mandatory retrospective review for emergency changes within defined timeframe]	[Owner]	[Date]	Emergency change register, review sign-offs, exception tracking	[Open / In Progress / Complete]
ITGC-OPS-01	[Example: Retain evidence of failed job investigation and resolution for financial interfaces]	[Owner]	[Date]	Job logs, incident tickets, reconciliation evidence, reviewer sign-off	[Open / In Progress / Complete]
ITGC-TP-01	[Example: Formalise third-party assurance review, bridge period evaluation, and user responsibility tracking]	[Owner]	[Date]	Vendor review checklist, bridge letter, responsibility matrix, evidence of retained controls	[Open / In Progress / Complete]

Recommended Audit Responses

The external audit team should perform the following actions based on the reliance conclusions:

Area	Recommended Audit Response	Owner	Timing
Logical access exceptions	Expand testing for affected systems and review activity for impacted users	[Audit Owner]	[Timing]
Privileged access gaps	Assess whether unauthorised changes or data modifications could have occurred	[Audit Owner]	[Timing]
Change management exceptions	Test additional changes and evaluate impact on automated controls and reports	[Audit Owner]	[Timing]
IT operations exceptions	Perform additional procedures over interface completeness, batch processing, and reconciliations	[Audit Owner]	[Timing]
Third-party reliance gaps	Obtain bridge letters, evaluate management controls, or perform alternative procedures	[Audit Owner]	[Timing]
Report reliability concerns	Validate report logic, parameters, completeness, and source data reconciliation	[Audit Owner]	[Timing]
Deficiency assessment	Evaluate aggregation and severity of ITGC deficiencies with the financial audit team	[Audit Owner]	[Timing]

Remediation Validation Requirements

For management remediation to be considered in the reliance conclusion, the following must be available:

- Evidence that the root cause was addressed, not only the individual exception.
- Updated control design, procedures, workflows, configurations, or monitoring reports.
- Evidence that control owners were trained on revised requirements.
- Complete and accurate populations for retesting.
- Evidence that the revised control operated for a sufficient period.
- Retesting results demonstrating consistent operation.
- Management review and sign-off confirming remediation completion.
- External auditor validation, where reliance is intended.

Roll-Forward Procedures

Where interim testing was performed, the following roll-forward procedures are required before final reliance is concluded:

Domain	Roll-Forward Procedure	Required Evidence	Status
Logical access	Test new users, terminations, privileged access changes, and access reviews from interim date to year-end	User listings, access requests, HR termination listing, review sign-offs	[Pending / Complete]
Change management	Test changes migrated between interim date and year-end, including emergency changes	Change population, tickets, approvals, testing evidence, migration logs	[Pending / Complete]
IT operations	Test job monitoring, interface failures, incidents, backups, and restoration evidence for roll-forward period	Job logs, incident tickets, backup reports, resolution evidence	[Pending / Complete]
Third-party IT services	Obtain updated bridge letters or subsequent assurance reports	Bridge letters, management monitoring evidence, vendor communications	[Pending / Complete]
Report reliability	Confirm no unauthorised or untested changes affected key reports used in audit	Report change history, parameters, reconciliations	[Pending / Complete]

Target Reliance Outcome

The target outcome is to support a clearly documented reliance position for each financially relevant system and ITGC domain before completion of the financial reporting control assessment. Management should prioritise remediation of issues that affect:

- Privileged access to financially relevant systems.
- Access removal for terminated users.
- Changes to financial reporting logic, interfaces, and workflows.
- Completeness and accuracy of system-generated reports.
- Monitoring of financial data interfaces and batch processing.
- Third-party controls where management has retained responsibilities.
- Evidence retention for control performance.

Distribution & Confidentiality

Authorised Distribution

This report is restricted to individuals with a direct role in the external audit, financial reporting governance, IT control ownership, or remediation oversight.

Recipient Group	Purpose
External audit engagement team	Audit planning, testing, reliance conclusion, and deficiency evaluation
Audit committee	Oversight of financial reporting control matters and significant deficiencies
Chief Financial Officer and finance leadership	Financial reporting risk assessment and remediation oversight
Chief Information Officer and IT leadership	IT control remediation and operational accountability
Chief Information Security Officer and security leadership	Security-related control remediation where relevant to financial reporting
Internal audit	Coordination of testing, remediation validation, and control improvement
Control owners and system owners	Action ownership and evidence preparation
Legal or compliance leadership	Review of sensitive findings, disclosure considerations, and governance coordination

Confidentiality Requirements

This report is classified as **Confidential - Audit Restricted** and contains sensitive information regarding IT systems, access controls, privileged accounts, vulnerabilities, control deficiencies, audit procedures, and potential financial reporting risks.

Recipients must:

- Use the report only for authorised audit, governance, remediation, and financial reporting control purposes.
- Not distribute the report outside authorised recipients without approval from [External Audit Engagement Partner] and [Organisation Authorising Executive].
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- Avoid copying sensitive details into unsecured communications or collaboration channels.
- Protect supporting evidence, screenshots, system extracts, and workpapers in accordance with audit firm and organisation confidentiality requirements.
- Notify [Contact / Role] promptly if unauthorised disclosure is suspected.

Limitations

This report reflects the external auditor's ITGC reliance assessment based on procedures performed and evidence obtained as of [Report Date]. The conclusion may change if additional evidence, exceptions, system changes, incidents, or remediation results become available.

This report is not a certification of security, system integrity, or operational performance. It is limited to the ITGC matters relevant to financial reporting audit reliance for the stated period and scope.

Approval

Role	Name	Signature / Approval Method	Date
External Audit IT Lead	[Name]	[Signature / Electronic Approval]	[Date]
External Audit Engagement Partner	[Name]	[Signature / Electronic Approval]	[Date]
Client Management Acknowledgement	[Name]	[Signature / Electronic Approval]	[Date]